SuperAnalyst

VALUATION · LENSES · EVIDENCE

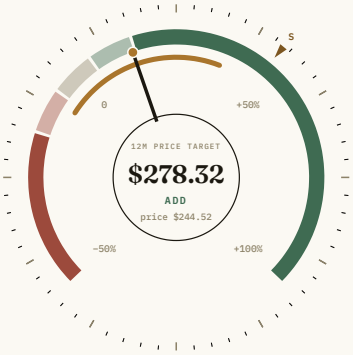
INDEPENDENT VALUATION · UTILITIES · UTILITIES - INDEPENDENT POWER PRODUCERS

Constellation Energy Corporation CEG

ADD | STANDARD (FORWARD MULTIPLES + DCF) | CONFIDENCE · HIGH | 12-MONTH HORIZON | 13 OCT 2026

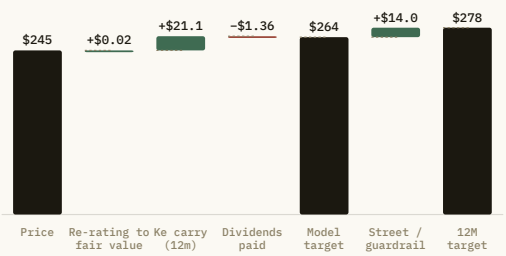
Price
$244.52
Yahoo snapshot as of 2026-07-08

12-MONTH PRICE TARGET — ADD



BEAR	TARGET	BULL
$226.17	$278.32	$332.94

FROM PRICE TO TARGET — +14%

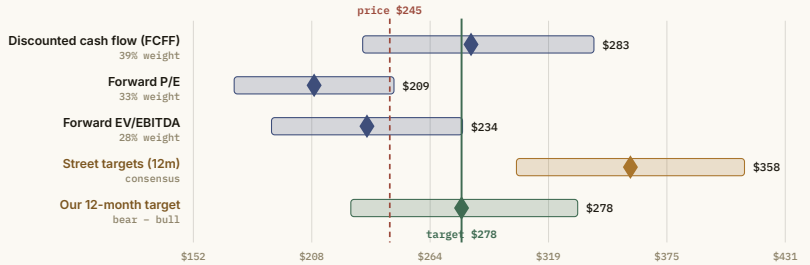


Fair value sits **$0.02 above** the price. Carrying it forward at the 8.6% cost of equity adds **$21.12**, dividends take back $1.36; the Street anchor / guardrail moves it $14.03 up.

KEY FIGURES — USD

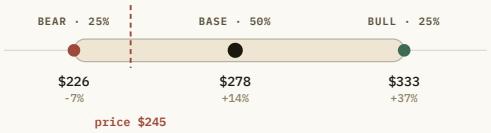
MARKET CAP $87.32bn EV $93.01bn	P/E · NTM 18.0x sector ref 19.0x
EV/EBITDA · NTM 9.3x sector ref 11.0x	FCF YIELD · LTM 1.5% OCF − capex
ROIC 14.0% NOPAT / invested capital	NET DEBT / EBITDA 0.9x x EBITDA
REVENUE GROWTH · FY+1 39.5% FY2026E consensus	EBIT MARGIN 16.4% latest fiscal year

VALUE PER SHARE BY LENS — fair value today · range



3 lenses blend to a fair value of **$244.54** (dispersion 13%). Street mean $357.81.

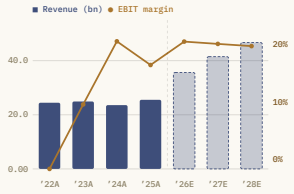
SCENARIOS · 12 MONTHS — E[target] $278.94 (+15%)



CASE	PROB.	TARGET	RETURN	DCF
Bear	25%	**$226.17**	-7%	$231.76
Base	50%	**$278.32**	+14%	$282.76
Bull	25%	**$332.94**	+37%	$340.63

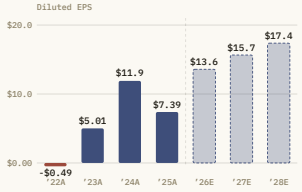
Weighting bear / base / bull 25 / 50 / 25 gives **$278.94** (+15% incl. dividends). Bear and bull come from the lens ranges (DCF bear/bull cases in the last column).

REVENUE & EBIT MARGIN — $bn



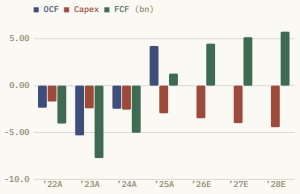
Revenue compounds **+22%** a year to FY2028E on the base case; EBIT margin 16% → 20%.

EPS · ACTUAL & EST. — USD/share



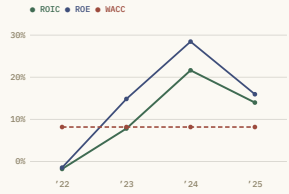
Consensus EPS $13.58 for FY2026; NTM P/E **18.0x**.

CASH GENERATION — $bn



FCF +1.3bn last year, 0.6x net income; capex intensity 1.5x D&A.

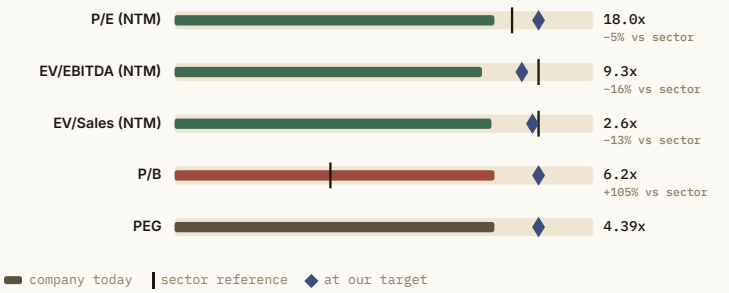
ROIC VS WACC — + ROE



ROIC **14%** vs WACC 8.2%: value-creating growth.

VALUATION VS THE SECTOR

Power producers reference



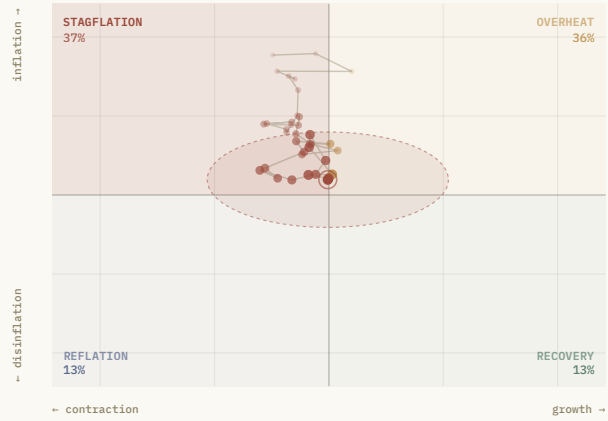
MULTIPLE	TODAY	SECTOR	PREMIUM	AT TARGET
P/E (NTM)	18.0x	19.0x	-5%	20.5x
EV/EBITDA (NTM)	9.3x	11.0x	-16%	10.5x
EV/Sales (NTM)	2.6x	3.0x	-13%	2.9x
P/B	6.2x	3.0x	+105%	7.0x
FCF yield (LTM)	1.5%	—	—	1.3%
Dividend yield	0.6%	—	—	0.5%
PEG	4.39x	—	—	4.99x

18.0x NTM earnings vs a 19.0x sector reference (-5%); 9.3x EV/EBITDA vs 11.0x. At our target the P/E would be 20.5x.

RELOJ DE INVERSIÓN

2026-10 · snapshot

ESTANFLACIÓN Stagflation · weak signal



Estanflación (Stagflation), weak signal: 37% vs 36% for Sobrecalentamiento (Overheat). Utilities has historically beaten the US market by **0.0 pp/yr** in this phase; probability-weighted tilt **+0.0 pp/yr**. The Reloj's playbook holds 31.8% in Utilities in this phase.

INVESTMENT VIEW

what the numbers say

- **Valuation.** Fair value $244.54 vs price $244.52; 12-month target **$278.32** (+14%, +14% with dividends).
- **Fundamentals.** FY+1 revenue +40%; ROIC 14% vs WACC 8.2%; EBIT margin 16%.
- **Quality.** Piotroski 6/9; Altman Z 2.2 (grey).
- **Cycle.** Reloj reads **Stagflation** (weak signal); Utilities has a probability-weighted tilt of **+0.0 pp/yr** vs the US market.
- **Priced in.** The market discounts year-1 growth of 38% vs our 40%: less than we model.
- **What would change our mind.** A sustained miss on FY+1 revenue or margin; a re-rating of the sector multiple; a move in the cost of equity (8.6% today).

KEY RISKS

ranked

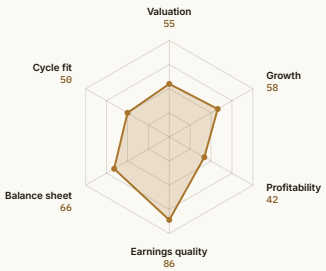
01 Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.

02 Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.

03 Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

FACTOR SCORECARD

0–100



Valuation	55	Growth	58
Profitability	42	Earnings quality	86
Balance sheet	66	Cycle fit	50

Heuristic scales (thresholds in the appendix); the underlying metric is shown in the financial section.

INVESTMENT THESIS

Why this number

We rate **Constellation Energy Corporation (CEG) ADD** with a 12-month price target of **$278.32** — a +14% move from $244.52 and a +14% total return including the dividend. The shares look undervalued on 3 lenses: Discounted cash flow (FCFF), Forward P/E, Forward EV/EBITDA. Their weighted fair value today is **$244.54**, rolled forward at the 8.6% cost of equity.

Constellation Energy Corporation generated $25.53bn of revenue at a 16% EBIT margin in the latest fiscal year, having compounded the top line at 1.5% over the historical window. Market capitalisation stands at $87.32bn with $5.35bn of net debt.

Consensus EPS of $13.58 gives an NTM figure of $13.58, i.e. 18.0x at today's price.

For context, the Street's mean 12-month target is $357.81 (+46%). Our model-only target of $264.30 sits 26% below it; the published target gives the consensus a 15% weight, a deliberate hedge against model error that we disclose rather than hide.

A reverse DCF shows the market is discounting year-one revenue growth of 38.1% against our 39.5% base — the price demands less than we model.

Priced like the sell-side prices it: a target multiple on forward earnings and EBITDA (peer-anchored, adjusted for growth and earnings durability), cross-checked against a 10-year FCFF DCF whose growth decays and whose margins mean-revert.

KEY DATA

Market cap	$87.32bn
Enterprise value	$92.67bn
Net debt	$5.35bn
Net debt / EBITDA	0.9x
EV / EBITDA (LTM)	15.6x
P/E (LTM)	33.1x
FCF yield (LTM)	1.9%
Dividend yield	0.6%
Beta	1.12
Diluted shares	357mn

THE VERDICT

How the 12-month target is built

Each lens answers *what is a share worth?* independently. They are weighted by what fits the business, filtered by plausibility guardrails, rolled forward at the cost of equity and — where it exists — lightly anchored to the Street.

RELATIVE · MULTIPLES	61% OF TARGET	INTRINSIC · CASH FLOWS	39% OF TARGET
Forward P/E	$208.90	Discounted cash flow (FCFF)	$282.76
$171.30 – $246.50	33%	$231.76 – $340.63	39%
Forward EV/EBITDA	$233.80		
$188.85 – $278.75	28%		

FAIR VALUE TODAY

$244.54

PUBLISHED 12-MONTH TARGET

$278.32 +14%

The arithmetic. $244.54 × (1 + 8.64%) − $1.36 dividends = model target **$264.30**; Street mean $357.81 at 15% weight → published **$278.32**.

Confidence: High

- 3 independent lenses agree on a valuation
- lens dispersion is tight (CV 13%)

Guardrails & disclosures

> Target anchored 15% to the Street consensus ($357.81); model-only target $264.30.

INSIDE THE LENSES

Every input, so any number can be challenged

Relative lenses apply a target multiple to forward numbers; the DCF values the cash flows; sector lenses use the model that fits the business.

Discounted cash flow (FCFF)

INTRINSIC · 39% WEIGHT

$282.76

$231.76 – $340.63

WACC	8.17%
Terminal growth	2.50%
PV of explicit FCFF	$43.89bn
PV of terminal value	$62.77bn (59% of EV)
Enterprise value	$106.66bn
– Net debt & minorities	$5.69bn
Equity value	$100.97bn
Value per share	$282.76

10-year FCFF DCF: consensus for the near years, geometric growth decay, mean-reverting margins, terminal reinvestment tied to growth/ROIC. Range = bear/bull scenarios.

Forward P/E

RELATIVE · 33% WEIGHT

$208.90

$171.30 – $246.50

Consensus EPS	$13.58 (FY2026)
Forward EPS	$13.58
Anchor P/E	19.0x — Power producers reference 19.0x (no usable peer set)
Growth adjustment	×0.81 (4.1% durable growth vs 9.0% sector)
Earnings-durability factor	×1.00
Leverage adjustment	×1.00
Target P/E	15.4x
Value per share	$208.90

Target multiple x NTM EPS. The multiple is anchored on peers/sector, then scaled for durable growth, leverage and how far forward earnings sit above what the business has historically earned.

Forward EV/EBITDA

RELATIVE · 28% WEIGHT

$233.80

$188.85 – $278.75

NTM EBITDA (from consensus earnings)	$10.01bn
Anchor EV/EBITDA	11.0x — Power producers reference 11.0x (no usable peer set)
Growth adjustment	×0.81
Earnings-durability factor	×1.00
Target EV/EBITDA	8.9x
Enterprise value	$89.18bn
– Net debt	$5.35bn
Value per share	$233.80

Capital-structure-neutral cross-check to forward P/E: it values the operating business and then bridges to equity through net debt.

FINANCIAL ANALYSIS

Statements, returns and balance-sheet quality

Reported fiscal years, with the DCF base case and consensus as shaded forecast columns. Forecast free cash flow is unlevered (FCFF).

$BN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
INCOME STATEMENT							
Revenue	**24.44**	**24.92**	**23.57**	**25.53**	**35.62**	**41.49**	**46.68**
growth	–	2.0%	-5.4%	8.3%	39.5%	16.5%	12.5%
Gross profit	2.14	3.23	5.99	4.69	–	–	–
gross margin	8.7%	13.0%	25.4%	18.4%	–	–	–
EBITDA	1.56	4.76	7.03	5.96	10.09	11.59	12.85
EBITDA margin	6.4%	19.1%	29.8%	23.3%	28.3%	27.9%	27.5%
EBIT	**(0.41)**	**2.39**	**4.85**	**4.20**	**7.31**	**8.35**	**9.21**
EBIT margin	-1.7%	9.6%	20.6%	16.4%	20.5%	20.1%	19.7%
Net income	(0.16)	1.62	3.75	2.32	4.85	5.59	6.20
net margin	-0.7%	6.5%	15.9%	9.1%	13.6%	13.5%	13.3%
Diluted EPS	**($0.49)**	**$5.01**	**$11.90**	**$7.39**	**$13.58**	**$15.66**	**$17.37**
BALANCE SHEET							
Cash & short-term investments	0.42	0.37	3.02	3.64	–	–	–
Total debt	5.77	9.26	8.41	8.99	–	–	–
Net debt / (net cash)	**5.35**	**8.89**	**5.39**	**5.35**	**–**	**–**	**–**
Net debt / EBITDA	3.4x	1.9x	0.8x	0.9x	–	–	–
Total assets	46.91	50.76	52.93	57.25	–	–	–
Shareholders' equity	11.02	10.93	13.17	14.52	–	–	–
Book value / share	$33.69	$33.72	$41.80	$46.23	–	–	–
CASH FLOW							
Operating cash flow	(2.35)	(5.30)	(2.46)	4.24	–	–	–
Capex	(1.69)	(2.42)	(2.56)	(2.95)	(3.48)	(4.00)	(4.44)
Free cash flow	**(4.04)**	**(7.72)**	**(5.03)**	**1.29**	**4.48**	**5.18**	**5.76**
FCF margin	-16.5%	-31.0%	-21.3%	5.0%	12.6%	12.5%	12.3%
FCF / net income	–	net cash	net cash	0.6x	–	–	–
Capex / D&A	0.9x	1.3x	1.3x	1.5x	1.3x	1.2x	1.2x

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

RETURNS ON CAPITAL — by fiscal year

	FY2022	FY2023	FY2024	FY2025
ROE	-1.5%	14.9%	28.5%	16.0%
ROA	-0.3%	3.2%	7.1%	4.1%
ROIC	-1.8%	7.8%	21.6%	14.0%
Asset turnover	0.52x	0.49x	0.45x	0.45x
Equity multiplier	4.26x	4.65x	4.02x	3.94x

DUPONT · FY2025

9.1% NET MARGIN × 0.45x ASSET TURNOVER × 3.94x EQUITY MULTIPLIER = 16.0% ROE

PIOTROSKI F-SCORE — financial strength · 0–9

6 / 9 tests available

- Positive return on assets
- Positive operating cash flow
- Return on assets improving
- Cash flow exceeds net income (low accruals)
- Leverage falling
- Current ratio improving
- No dilution (share count not up)
- Gross margin improving
- Asset turnover improving

DISTRESS & EARNINGS QUALITY — Altman · accruals · cash cycle

2.2 Altman Z · grey zone

SLOAN ACCRUALS -3.5%	OCF / NET INCOME 1.83x
DSO 51 d	DIO 30 d
DPO 49 d	CCC 32 d

Sloan accruals below ~0 mean earnings are backed by cash; strongly positive readings flag aggressive accounting.

MULTIPLES AT THE CURRENT PRICE, BY FISCAL YEAR

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$23.57bn	$25.53bn	$35.62bn	$41.49bn	$46.68bn	$51.21bn
growth	-5.4%	+8.3%	+39.5%	+16.5%	+12.5%	+9.7%
EBITDA	$7.03bn	$5.96bn	$10.09bn	$11.59bn	$12.85bn	$13.90bn
EBIT margin	20.6%	16.4%	20.5%	20.1%	19.7%	19.3%
EPS	$11.90	$7.39	$13.58	$15.66	$17.37	$18.75
FCFF/share	($15.99)	$4.93	$12.54	$14.49	$16.12	$17.48
EV/EBITDA	13.2x	15.6x	9.2x	8.0x	7.2x	6.7x
P/E	20.5x	33.1x	18.0x	15.6x	14.1x	13.0x
FCF yield	-6.2%	1.9%	4.8%	5.6%	6.2%	6.7%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

EARNINGS QUALITY

Are the earnings the market is paying for durable?

Trailing EPS	$7.39
Consensus EPS FY2026	$13.58
Consensus EPS FY2027	–
NTM EPS used	**$13.58**
Through-cycle (historical average) EPS	$5.95
Forward ÷ through-cycle	2.3x
Durable EPS growth used	4.1%
Earnings-durability factor on multiples	×1.00
Basis	consensus (single year)

No cyclicality flags. Revenue and margins show no peak-to-trough pattern in the reported history, so forward earnings are capitalised at the full target multiple.

Growth source: historical revenue CAGR (capped at 15%). Multiples price *durable* growth, so a one-year recovery step is never extrapolated, and when forward EPS is far above what the business has historically earned the target multiple is scaled down — the market pays less for peak earnings.

DCF CROSS-CHECK

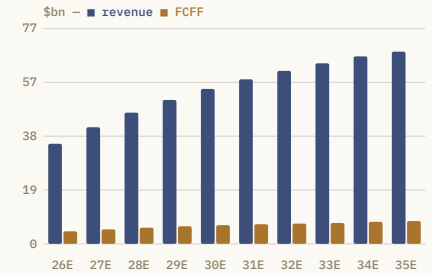
Drivers, cash-flow build and sensitivity

DRIVER	PATH	WHY
Revenue growth	39.5% → 2.5% over 10y	Year 1 follows consensus revenue for FY2026. Growth then decays geometrically from 22.0% to the 2.5% terminal rate as revenue compounds toward $68bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.
EBIT margin	16.4% → 20.5% → 17.7% (expands)	Reported margin is 16.4%; year-1 margin is 20.5%. This is a compounder, so we revert only 30% of the way toward the through-cycle average of 11.2%, landing at 17.7% — crediting some but not all of current profitability as durable.
Reinvestment (capex)	9.8% → 8.6% of sales	Starts at the historical capex intensity (9.8%) against D&A of 7.8%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.
Working capital	0.4% of Δrevenue	Incremental working capital absorbs 0.4% of each year's revenue increase (historical median) — a cash drag as the business scales.
Tax rate	28.7%	Normalised to the trailing effective rate of 28.7%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

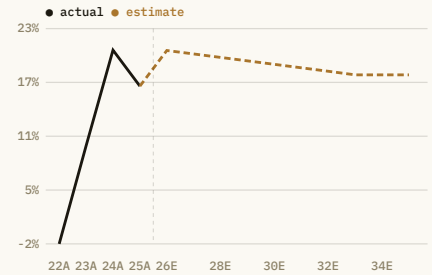
FREE-CASH-FLOW BUILD · $BN

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**35.62**	**41.49**	**46.68**	**51.21**	**55.12**	**58.54**	**61.55**	**64.26**	**66.74**	**68.40**
growth	39.5%	16.5%	12.5%	9.7%	7.6%	6.2%	5.1%	4.4%	3.9%	2.5%
EBIT	7.31	8.35	9.21	9.90	10.44	10.85	11.16	11.40	11.84	12.13
EBIT margin	20.5%	20.1%	19.7%	19.3%	18.9%	18.5%	18.1%	17.7%	17.7%	17.7%
NOPAT	5.21	5.96	6.57	7.06	7.44	7.74	7.96	8.13	8.44	8.65
+ D&A	2.78	3.24	3.64	4.00	4.30	4.57	4.80	5.02	5.21	5.34
− Capex	(3.48)	(4.00)	(4.44)	(4.80)	(5.09)	(5.33)	(5.53)	(5.69)	(5.82)	(5.87)
− Δ working capital	(0.04)	(0.02)	(0.02)	(0.02)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)
Unlevered FCF	**4.48**	**5.18**	**5.76**	**6.24**	**6.64**	**6.96**	**7.23**	**7.45**	**7.82**	**8.11**
Discount factor	0.961	0.889	0.822	0.760	0.702	0.649	0.600	0.555	0.513	0.474
Present value	4.31	4.60	4.73	4.74	4.66	4.52	4.34	4.13	4.01	3.85

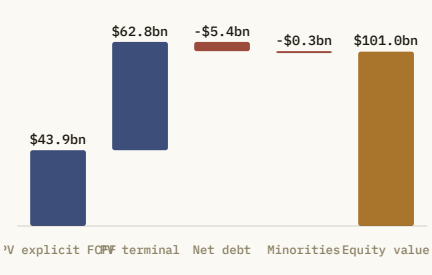
REVENUE & FCFF



EBIT MARGIN PATH



EV → EQUITY BRIDGE



DCF VALUE PER SHARE · WACC × TERMINAL GROWTH (VS. PRICE)

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
6.7%	$350	$367	$389	$416	$452
7.4%	$302	$314	$328	$345	$366
8.2%	$266	$274	**$283**	$294	$307
8.9%	$237	$242	$248	$256	$264
9.7%	$213	$217	$221	$226	$232

Shaded against the current price: green = above, terracotta = below. Outlined cell = base case.

WACC	TERMINAL GROWTH	TERMINAL VALUE / EV	ENTERPRISE VALUE
8.17%	2.50%	59%	$106.66bn
EQUITY VALUE	**IMPLIED EXIT EV/EBITDA**	**TERMINAL ROIC**	**DCF VALUE / SHARE**
$100.97bn	7.6x	16%	$282.76

The business earns **16.3%** on capital versus a **8.2%** cost of capital — a positive spread of **809bps**, so growth creates value. Self-funding growth of 2.5% (reinvestment 15% × ROIC) frames how much of the terminal growth is organically financed rather than assumed.

Terminal EV/EBITDA vs today	7.6x implied vs 15.1x current	OK
Terminal ROIC vs WACC	16.3% vs 8.2%	OK

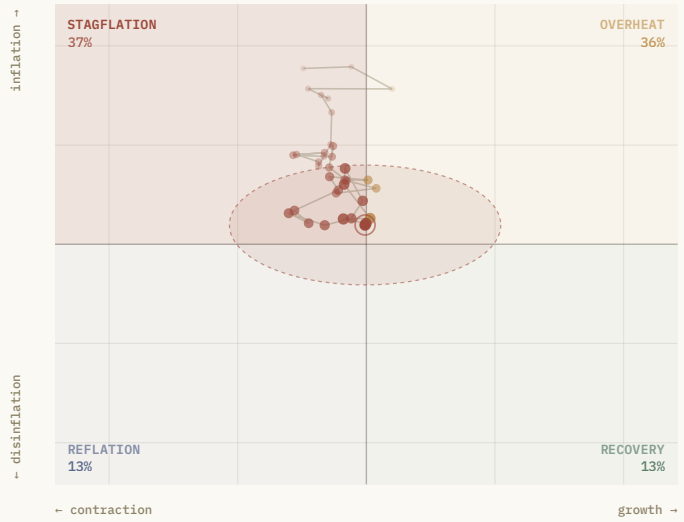
RELOJ DE INVERSIÓN

Where the cycle is, and what it has paid Utilities

Live reading of the Reloj de inversión project: 28 FRED series → growth and inflation axes (robust z-scores, PCA) → phase probabilities. Sector evidence is historical excess return vs the US market per phase, with Newey-West t-statistics and false-discovery control.

GROWTH × INFLATION PLANE

last 36 months



PHASE PROBABILITIES

weak signal · margin 1.1 pts

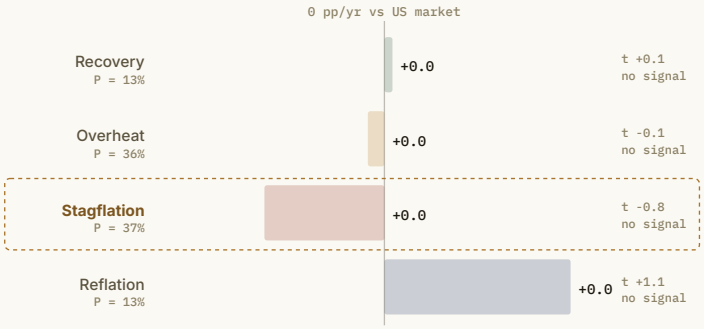
Recovery	13%
Overheat	36%
Stagflation	**37%**
Reflation	13%

The Reloj's call is **Estanflación** with **weak** conviction: only 1.1 points separate it from Sobrecalentamiento (Overheat). Growth sits at -0.01σ and inflation at +0.19σ of their ten-year norms; the 12-month recession probability is 8%.

GROWTH Z -0.01σ	INFLATION Z +0.19σ
RECESSION 12M 8%	GROWTH Δ3M -0.04σ
INFLATION Δ3M -0.07σ	DATA snapshot

UTILITIES: EXCESS RETURN BY PHASE

pp/yr vs US market · shrunk (solid) vs raw (pale)



In Stagflation Utilities has returned **3.5%** a year on average (**+0.0 pp/yr** vs the market, t = -0.8, reliability *no signal*). Weighted by today's probabilities the sector's expected edge is **+0.0 pp/yr**. Across all sector×phase cells the Reloj tests, 25 of 192 survive false-discovery control.

HISTORICAL EVIDENCE FOR UTILITIES

since 1970

PHASE	ANN.	VS MKT	T	HIT	MO.	SIGNAL
Recovery	6.7%	+0.0	+0.1	59%	187	NO SIGNAL
Overheat	6.0%	+0.0	-0.1	55%	120	NO SIGNAL
Stagflation ●	3.5%	+0.0	-0.8	55%	226	NO SIGNAL
Reflation	11.1%	+0.0	+1.1	64%	148	NO SIGNAL

"Ann." is the sector's average annual return while the cycle was in that phase; "vs mkt" the excess over the US market (shrunk estimate); t-statistics are Newey-West. A weak or "no signal" reliability means the data cannot distinguish the sector's phase return from chance.

THE RELOJ'S PLAYBOOK NOW

Estanflación · Inverse volatility

ALLOCATION	WEIGHT
Industrials	26.0%
Semiconductors	22.2%
Utilities THIS COMPANY'S SECTOR	**31.8%**
Gold miners	6.0%
Gold bullion	14.0%

The current playbook allocates **31.8%** to Utilities. Valuation upside and the cycle point the same way.

HOW TO USE THE ETF

09-Oct-2026

ETFS IDU · XLU	WEIGHT IN SECTOR ETF 7.55%
RANK IN ETF #3	GENERACIÓN INDEPENDIENTE (SUB-SECTOR) 14.0% of ETF

Owning the sector through its ETF carries this company at the weight above; owning the stock instead adds single-name risk the Reloj's sector evidence does not measure.

Source: Reloj de inversión · snapshot as of 2026-10. This is an analytical tool, not investment advice; the sector tilt is context for the valuation, not an input to the price target.

FACTORS

What moves this stock

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	HIGH	75bps of WACC ≈ $39.66/sh (14%); TV = 59% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	MEDIUM	Revenue growth volatility σ = 5.6% over 3y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	HIGH	−100bps EBIT margin ≈ −$18.99/sh; margin σ = 8.4%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net debt/EBITDA = 0.9x; EBIT/interest = 8.2x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.
Micro	**Competitive erosion**	MEDIUM	ROIC−WACC spread = 809bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Execution vs expectations**	MEDIUM	Implied y1 growth 38.1% vs base 39.5%	Market expects LESS than our base — upside on delivery. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	**Capital intensity**	MEDIUM	Capex/D&A = 1.25x; capex = 9.8% of sales	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	HIGH	EBIT margin σ = 8.4% (range -2%–21%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS

What each lever is worth

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$39.66/share (14%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$10.04/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$18.99/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 39.5% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

RISKS

Key risks

- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

APPENDIX

Method and definitions

01

Lenses and weights

The target triangulates relative lenses (target multiples on consensus forward

02

Guardrails

A lens outside 0.2×–5× the price is excluded; lenses > 2.2× away from the

03

12-month target

Fair value × (1 + cost of equity) − dividends; bear/bull from the lens ranges;

numbers, anchored on peers/sector references and adjusted for durable growth, leverage and earnings durability), a 10-year DCF (consensus for the near years, geometric growth decay, mean-reverting margins) and sector models, weighted by company profile.

median of the others are down-weighted by 60%; the published target is limited to 0.4×–2.5× the price; fewer than two usable lenses, or a result forced by a guardrail, is published NOT RATED.

Street consensus anchored at up to 30% (scaled by analyst count) and always shown separately.

04

Scorecard scales

Valuation: expected return −30%…+50% → 0…100. Growth: durable EPS growth 0…25% and FY+1 revenue −5…+30%. Profitability: ROIC−WACC −5…+25 pts and EBIT margin 0…35%. Quality: Piotroski share of tests passed, OCF/NI 0.5…1.2, accruals. Balance sheet: net debt/EBITDA, interest cover, Altman zone. Cycle fit: Reloj tilt −4…+4 pp/yr.

05

Piotroski · Altman · Sloan

Piotroski F: nine binary tests of profitability, leverage/liquidity and efficiency (tests that cannot be computed from the available statement lines are excluded, not failed). Altman Z (original industrial form): >2.99 safe, 1.81–2.99 grey, <1.81 distress. Sloan accruals: (net income − OCF) / average assets.

06

Reloj de inversión

Phase probabilities and sector evidence come from the linked project's published data (see source above). Tilt = Σ phase probability × shrunk excess return of the sector in that phase. It describes historical behaviour and is not an input to the price target.

Disclaimer. Generated by an automated, sector-aware valuation engine from public data (Yahoo snapshot as of 2026-07-08). CEG was classified as **Standard (forward multiples + DCF)**. Forward numbers come from analyst consensus where available and from reported figures otherwise; they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.
